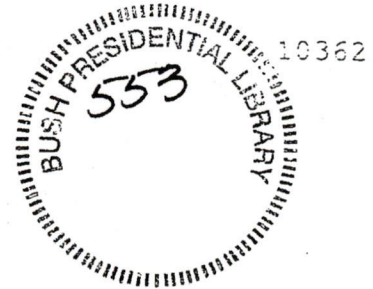


~~SECRET~~

THE WHITE HOUSE
WASHINGTON



MEMORANDUM OF TELEPHONE CONVERSATION

SUBJECT: Telephone Conversation with Prime Minister
Felipe Gonzalez of Spain (U)

PARTICIPANTS: The President
Prime Minister Felipe Gonzalez
Interpreter: Lillian Nigaglioni
Notetaker: Adrian Basora (U)

DATE, TIME December 23, 1989, 8:05 - 8:35 am EST
AND PLACE: The Oval Office (U)

The President telephoned Prime Minister Felipe Gonzalez of Spain concerning the Panama situation. (U)

The President: Merry Christmas! (U)

PM Gonzalez: The same to you. (U)

The President: I would like to fill you in on the situation in Panama. As you know, we made every effort to use multilateral means to solve this problem but all our attempts failed. This crazy man Noriega then issued a declaration of war. The declaration itself did not worry us, but it made us wonder where his behavior would lead. Then his people killed a U.S. Marine Lieutenant Colonel and a U.S. Navy Lieutenant was beaten and his wife sexually harassed. There was no way to predict what Noriega would do, and I decided that I had to act to protect U.S. lives. (S)

I very much regret the loss of life, and I want to express my personal condolences; I understand that a Spanish journalist was killed. (S)

PM Gonzalez: That is correct. (S)

The President: I hope your airplane sent to repatriate the body had already landed. (S)

PM Gonzalez: No, it has not yet arrived, and I had wanted to request that you assist us in this regard. (S)

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The President: I had instructed our forces in Panama to facilitate its landing. As soon as I hang up I will call the Pentagon and make sure that proper instructions are given to our Southern Command. (S)

PM Gonzalez: I have a few comments that I would like to make about the situation in Panama. (S)

Mr. President: Please go ahead. (S)

PM Gonzalez: The way things stand, it will be extraordinarily difficult to find a reasonable way out. I have talked to our Ambassador in Panama and to numerous Panamanians as well as to Carlos Andres Perez, and I will soon be calling Endara and Arias Calderon. (S)

We have a big problem with Spanish public opinion, and it is important that our Ambassador be able to move freely in Panama in order to look after our Spanish community there. (S)

I think that it is very important to set up an airlift of food and medicine from the U.S. to Panama. Otherwise, the desperation of the people will produce more disorder because of the shortages. The best method of establishing civilian control of the neighborhoods is to set up points of distribution of food and medicine, thus showing the presence of the new civil authorities. (S)

I believe the massive arrests of Panamanian government officials who were not closely linked to Noriega is a major mistake and could cause a deterioration of the situation. It is still possible for the new authorities to issue a call to the National Guard (PDF) to rally to the new government and rejoin the PDF. But this must be done in a non-humiliating way and with appropriate guarantees. Otherwise, U.S. forces will need to remain well beyond a month and pockets of resistance will fester for a long time. The operation has failed so far in terms of public order and in reestablishing civil authority. It is important to correct this. If you feel we can help in the reconstruction and reconciliation process, I will take the necessary measures to do so. (S)

The President: I am sure the Panamanians will welcome this very much. While we were talking I had my military aide check with the Pentagon and he assures me that the Spanish plane that you have sent is cleared to land. (S)

Endara has recruited 100 police officers to work with the military police. He has also begun to make government appointments and to begin governing, so that the Panamanian people and world opinion will see that he is in control. The problem for Endara is not the PDF but the Dignity Battalions. These people are basically thugs and are hiding in buildings and

sniping. The problem will be improved greatly if Noriega can be brought to justice, but so far we have been unable to find him.

PM Gonzalez: I agree that the problem is with the Dignity Battalions, but some PDF are fighting alongside them. This is why it is necessary to reconstruct the PDF. The method Endara is using will not work. He will not regain public order unless the PDF is largely reconstructed. ~~(S)~~

The President: That is right, and this is exactly what we want to do. We have no argument with the PDF, just with Noriega. Many of the PDF officers that were in prison are being talked to about a reorganization of the PDF, and I think its new head will be announced soon. ~~(S)~~

PM Gonzalez: Yes, I understand that a Lieutenant Colonel has already been named with the rank of Colonel. Spain will try to get some of the PDF officers who have not yet reincorporated to do so. But U.S. agreement will be needed to permit this to happen. ~~(S)~~

I want to repeat my point that there is an urgent need for food and medical supplies. ~~(S)~~

Mr. President: That is a good point, and I think this has already been started. But your suggestion is a good one and I will call right away to make sure that the airlift is on track. ~~(S)~~

PM Gonzalez: It is essential to win back internal public opinion in Panama, and in Latin America, with massive humanitarian assistance. ~~(S)~~

The President: The moment that Endara took office the U.S. was able to lift its sanctions. This will help the economy greatly, but it will take a few days. It will also give legitimacy to the Endara government and help the people of Panama by restoring the economic situation. ~~(S)~~

PM Gonzalez: This is good, but let me stress again that food and medicine are urgently needed. ~~(S)~~

The President: Thank you and Merry Christmas. You can count on us to keep working on the restoration of civil order. ~~(S)~~

Mr. President: Yes, I remember. That is good and we do want to seek their reincorporation into the PDF with honor and dignity. If you have specific suggestions of officers that want to rejoin

and are willing to work under elected civilian authorities, Endara would want to see them incorporated. Perhaps you can have your Ambassador in Washington or Panama give us the specific names. (S)

What do your contacts in Panama say about the whereabouts of Noriega. Is he in the city? (S)

PM Gonzalez: I have the impression that he is not in the city but he is using the survival techniques that he knows well. (S)

Mr. President: Do you know about the things that were found in his headquarters - \$2,000,000 in cash, narcotics, witchcraft, pictures of Hitler? (S)

PM Gonzalez: Yes. (S)

The President: Thank you very much and I look forward to working with you. I know that this action has caused anxiety, but it will result in democracy being restored in Panama. This is something we had to do. We can not permit U.S. citizens to be brutalized and we have rights under the Treaty. But the Treaty will go forward and now we will be able to get a Panamanian, nominated by Endara, confirmed by the U.S. Senate as the Head of the Panama Canal authority. (S)

PM Gonzalez: It is very important how we come out of this. What we need is an effective way out that is conciliatory and has a civilian character. This is important for both Latin America and for the international community. (S)

Mr. President: I agree. The only thing that we cannot permit is a return of Noriega. (S)

PM Gonzalez: I agree. We will need a civilian outcome that totally eliminates a return of Noriega. (S)

Mr. President: Have a wonderful New Year. We will work this out peacefully. I am up here at Camp David for the weekend and it is very cold! (S)

PM Gonzalez: Please give my greetings to your wife. (S)

The President: Barbara is right here, and I will do that. (S)